

Outside Counsel Invoice Audit Report — Legal Ops Internal

Invoice: [INV-REDACTED] Period: April 2026 (Q1 FY2026) Matter: Employment Litigation — Wage & Hour Class Action (Discovery)

Firm: [AmLaw 100 — REDACTED] | Chicago Jurisdiction: Illinois Audience: Legal Ops Internal

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1. Executive Summary

This invoice covers the April 2026 billing period for an employment wage-and-hour class action in the Discovery phase. The invoice was submitted by an AmLaw 100 firm (Chicago office). The review identified **ten distinct issues** across five categories: rate noncompliance, unapproved timekeepers, prohibited charges, billing hygiene, and budget overrun. The matter is also projecting a material fee overrun against the approved discovery-phase budget.

IDENTIFIED VALUE AT REVIEW \$57,460 Full invoice (fees + expenses)	POTENTIAL SAVINGS \$10,498 Est. if all challenges sustained	HARD RULE BREACHES 7 Clear OCG or rate violations	CLARIFICATION NEEDED 3 Likely issues, facts needed	BUDGET STATUS 115% Fees spent vs. phase budget
FORECAST TO PHASE END 132% \$27,487 projected overrun				

2. Scope, Files Reviewed, and Data Quality

Files Reviewed			Key Assumptions & Limits	
File	Source Type	Quality		
invoice_line_items.csv	Line-item export	Good	- No standard-to-approved rate discount dispute — approved rates are treated as the binding ceiling. - No AFA, cap, or blended rate in place; hourly rate card governs. - Travel expense receipts not uploaded; OCG compliance assumed unverifiable without them. - Budget file reflects fees only; expense budget tracking is limited. - Directional external benchmarks used for rates only; labeled low confidence. - Unapproved timekeeper analysis based on the approval roster as supplied. - No prior invoice for this period was supplied; research-churn analysis is limited to this invoice.	
invoice_summary.csv	Invoice header	Good		
approved_rates_and_discounts.csv	Rate card	Good		
approved_timekeepers.csv	Approval roster	Good		
matter_budget_by_phase.csv	Budget/forecast	Good		
outside_counsel_guidelines.md	OCG	Good		
historical_comparator_metrics.csv	Internal comparators	Good		
matter_metadata.csv	Matter context	Good		

3. Key Metrics

Spend		Budget Status — Discovery Phase	
Total billed fees	\$54,515.00	Approved phase budget (fees)	\$85,000
Total billed expenses	\$2,945.00	Fees through prior month	\$52,250
Total invoice	\$57,460.00	Current invoice fees	\$45,737
Fees with at least one issue	\$14,791.00	Total fees to date	\$97,987
Expenses with at least one issue	\$1,848.00	Forecast remaining fees	\$14,500
Staffing (Fee Hours)		Forecast to phase end	\$112,487
		Projected overrun	\$27,487
Role	Hours	% Hours	% Fees
Sr. Associate (Lead)	27.8	32.6%	31.9%
Lead Partner	23.9	28.1%	43.6%
Associate	15.4	18.1%	15.7%
Contract Attorney	12.0	14.1%	4.7%
Paralegal	3.5	4.1%	1.6%
Summer Associate	1.8	2.1%	1.2%
2nd Partner (LA)	0.8	0.9%	1.3%
Total	85.2	100%	100%

Partner share of hours: 29.0% | Partner share of fees: 44.9%
Internal comparator (same firm, prior matter): partner 24% hours / 31% fees — **Moderate** signal of partner overuse on routine discovery tasks.

Confidence: **High** for internal comparators (same firm, same matter type, same phase, same jurisdiction). External directional context: AmLaw 100 litigation partner standard rates broadly \$1,050–\$1,485 range per available 2024–2025 industry data; approved rates here (\$945) are well-negotiated and reasonable. Associate rates (\$555–\$625) are within a mid-range for this tier. Rate level is not the primary concern — unapproved rates and staffing volume are.

4. Compliance Findings

Rate Issue Hard Breach Lead Partner — Billed Above Approved Rate on All Lines High Confidence The lead partner was billed at \$995/hr across all 9 fee lines, against an approved rate of \$945/hr — a \$50/hr variance (5.3%). The OCG and rate card are unambiguous: billed rates may not exceed approved rates without prior written client approval. No such approval is documented. All 9 lines are affected. Lines: 1001, 1004, 1006, 1010, 1013, 1015, 1016, 1028 Total hours over-billed: 23.9h @ \$50 overage Challenged value: \$1,195.00 Action: Demand write-down to \$945/hr or credit on next invoice	Unapproved TK Rate Issue Hard Breach LA Partner — Billed Without Prior Written Approval & Above Approved Rate High Confidence The LA-based partner (approval status: Conditional — requires prior written approval) billed 0.8h on a weekly status call. No prior written approval is on file. The LA partner's billed rate (\$875) also exceeds the approved rate (\$840), a \$35/hr variance. The status call involved two partners billing simultaneously for the same event (see Duplicate Attendance below). Line: 1007 Total billed: \$700.00 Rate overcharge component: \$28.00 Challenged value: \$700.00 (full line, unapproved) Action: Challenge full line; request written approval evidence or write-off	Unapproved TK Hard Breach Contract Attorney — Billed Without Preapproval or Cost Disclosure High Confidence A contract attorney (remote) billed 12.0h at \$215/hr for document review. The OCG and approval roster both state that contract attorney use requires separate client consent and cost disclosure before billing. No such approval is on file. This is also the largest single-timekeeper hour block on the invoice (14.1% of hours). Line: 1024 Total billed: \$2,580.00 Challenged value: \$2,580.00 Action: Challenge full line; request preapproval evidence or write-off; if work is legitimate, negotiate a retroactive consent and rate confirmation	Unapproved TK Training Hard Breach Summer Associate — Billed Without Approval High Confidence A summer associate billed 1.2h at \$375/hr for cite-checking and organizing exhibits. The approval roster explicitly states no billing approval was granted. Summer associate billing without client consent is prohibited under the OCG. Note also that cite-checking may be clerical in nature (see Invoice Prep section below). Line: 1023 Total billed: \$675.00 Challenged value: \$675.00 Action: Write-off required; cite-checking is borderline clerical regardless of approval status	Invoice Prep Hard Breach Invoice Preparation Time Billed at Associate Rate High Confidence An associate billed 1.8h for preparing invoice narrative edits and a billing cover email for the April statement. The OCG is explicit: invoice preparation, billing narrative revision, and collections activity are not billable. This is a clear prohibition with no ambiguity. Line: 1022 Total billed: \$666.00 Challenged value: \$666.00 Action: Full write-off required; no clarification needed	Expense Issue Hard Breach Travel Time Billed — Not Authorized in Writing High Confidence The lead partner billed 3.0h at \$995/hr for travel to and from a client facility for a deposition preparation meeting. The OCG explicitly states: "Travel time is not billable unless specifically approved in writing." No such approval is documented in the supplied files. Line: 1016 Total billed: \$2,985.00 Challenged value: \$2,985.00 Action: Challenge full line; request written approval or full write-off. If a reduced travel rate was verbally agreed, obtain documentation.	Surcharge Issue Hard Breach AI Research Platform Surcharge — Prohibited Without Written Authorization High Confidence An AI-assisted research platform surcharge of \$450 was billed. The OCG states AI, technology, analytics, database, and platform surcharges are not separately reimbursable unless specifically authorized in writing. No written authorization is on file. Line: 1020 Expense amount: \$450.00 Challenged value: \$450.00 Action: Challenge in full; request written authorization evidence or write-off. If the firm claims general authorization, require the written evidence before payment.	Duplicate Attendance Likely Issue Two Partners on the Same Weekly Status Call (Apr 6) Moderate Confidence Two partners billed for the same weekly status call on April 6 (same narrative text). The OCG states routine status calls should not include more than one billing attorney absent a specific need. The LA partner's attendance is also unapproved (see above). Even if the lead partner's attendance is appropriate, the LA partner's attendance requires explanation. Lines: 1006, 1007 Combined billed: \$1,496.00 Challenged value: \$700.00 (LA partner line, already challenged as unapproved) Action: Demand explanation for dual-partner attendance; if no justification, challenge LA partner line in full (included above)	Expense Issue Likely Issue Dinner Expense — Questionable Approvability Moderate Confidence A \$138 dinner with the trial team after a preparation session was billed. The OCG allows reasonable meals when directly related to approved travel. The travel itself is also under challenge. If travel is ultimately disallowed, this expense should be disallowed as well. Even if travel is approved, "trial team dinner" without further detail may not meet the "directly related to approved travel" standard and may be a social meal. Line: 1019 Expense amount: \$138.00 Challenged value: \$138.00 Action: Challenge if travel time is disallowed; separately request itemization and confirmation that this was a working meal and not a social dinner	Block Billing Likely Issue Lead Partner — Block-Billed 4.5h Entry Moderate Confidence Line 1010 combines at least four distinct tasks in one entry: revising discovery responses, reviewing research, analyzing deposition themes, and conferring with the team. At 4.5h billed to the lead partner at \$995/hr, this represents the highest-value single fee line on the invoice. The OCG discourages block billing and reserves the right to reduce entries where task detail is insufficient. This entry cannot be meaningfully reviewed, accrued, or challenged on a task level. Line: 1010 Billed: \$4,477.50 Challenged value: Partial — estimated 15–25% at risk pending clarification (\$672–\$1,119) Action: Request task breakdown; if not provided, apply discretionary reduction consistent with OCG right to reduce; use low-end estimate (\$672) as conservative potential saving	Research Churn Watch Item Repeated Research on Wage Statement Standing Issues (Associate) Low Confidence An associate billed 4.9h (Apr 7) then 3.2h (Apr 9) on what appear to be overlapping research topics — wage statement standing and Illinois district court decisions. The combined 8.1h of associate research on a single legal issue in four days warrants a question. The OCG states repeated research on recurring issues may be challenged if not justified. This is a watch item, not a clear breach — the legal question may be genuinely complex, and the research may not be duplicative. Clarification from the firm would resolve it. Lines: 1008, 1009 Combined billed: \$4,495.50 Challenged value: Partial if duplication confirmed — est. 1.0–2.0h excess (\$555–\$1,110) Action: Ask the firm to describe what changed between the two research sessions and what distinct questions each addressed; reserve challenge pending response	Surcharge Issue Watch Item — Needs Clarification ESI Database Hosting & Analytics — Authorization Unclear Moderate Confidence A third-party database hosting and analytics charge for collected ESI totaling \$1,260 was billed. The OCG restricts separately reimbursable technology charges to those specifically authorized in writing. ESI hosting for discovery may plausibly fall under a standard document management carve-out, but no written authorization is on file. This is the largest single expense on the invoice. Line: 1021 Expense amount: \$1,260.00 Challenged value: \$1,260.00 if no authorization confirmed Action: Request written authorization or prior approval evidence; if confirmed authorized, approve; if not, challenge in full
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5. Identified Value, Potential Savings & Realized Savings

IDENTIFIED VALUE AT REVIEW \$57,460 Full invoice in scope	POTENTIAL SAVINGS (HARD BREACHES) ~\$9,101 If all 7 hard-rule challenges sustained	ADDITIONAL POTENTIAL SAVINGS (CLARIFICATION ITEMS) ~\$1,397–\$2,507 Block billing, research churn, dinner, ESI	TOTAL POTENTIAL SAVINGS RANGE \$9,101–\$11,608 Est. midpoint ~\$10,500
REALIZED SAVINGS \$0 None confirmed; invoice submitted not yet paid			

⚠️ Potential savings are estimates only. Challenged value is not guaranteed savings. Realized savings will be confirmed only upon write-off, credit, or payment at a reduced amount. Do not record as accrual adjustments until confirmed.

Hard Breach Summary

Line(s)	Issue Label	Description	Billed	Challenged	Confidence
1001, 1004, 1006, 1010, 1013, 1015, 1016, 1028	Rate Issue	Lead partner billed \$995 vs. \$945 approved	\$23,780	\$1,195	High
1007	Unapproved TK	LA partner — no prior written approval; rate over approved	\$700	\$700	High
1024	Unapproved TK	Contract attorney — no preapproval or cost disclosure	\$2,580	\$2,580	High
1023	Unapproved TK	Summer associate — no billing approval granted	\$675	\$675	High
1022	Invoice Prep	Invoice narrative prep and billing cover email — prohibited	\$666	\$666	High
1016	Expense Issue	Travel time billed — not authorized in writing	\$2,985	\$2,985	High
1020	Surcharge Issue	AI research platform surcharge — prohibited without written auth	\$450	\$450	High
Hard Breach Totals			\$31,836	\$9,251	

Note: Rate issue challenged value is the incremental over-billed amount only, not the full line value. Unapproved timekeeper and prohibited charge challenged values equal the full line.

6. Benchmarking

Internal comparators are the primary benchmarking basis. Three strong internal matches are available. External directional data is used only for rate-level context.

Comparator	Basis	Fees	vs. This Invoice	Confidence
Same firm, prior wage-hour class matter, Discovery, IL (Q4 2025)	Strongest match	\$32,840	+66%	High
Dept. avg, similar employment discovery (Q3–Q4 2025)	Strong match	\$35,120	+55%	High
Internal panel median, class action discovery (FY2025)	Strong match	\$36,650	+49%	High
AmLaw 100 partner litigation rate (directional, 2024–25 industry data)	External directional	~\$1,050–\$1,485 standard rates typical; approved rate of \$945 is well-negotiated and not the primary concern		Low

Benchmarking interpretation: The fee spend on this invoice (Discovery phase, April 2026) is 49–66% above the three internal comparators for comparable matters. The primary drivers appear to be: (1) significantly more hours billed overall (85.2h vs. comparator timekeeper counts implying materially fewer hours), (2) higher partner concentration than comparator history, and (3) inclusion of unapproved timekeepers adding 13.9h. The rate level itself is within normal range for negotiated AmLaw 100 work in this jurisdiction — the volume and staffing pattern are the concern, not the rate card.

Confidence: **High** for internal comparator findings. Low for external rate benchmark (directional only).

7. Recommended Actions

- Hold invoice payment pending resolution of hard-rule breach items (rate overcharge, unapproved timekeepers, travel time, invoice prep, AI surcharge). Estimated challenged value: ~\$9,101 minimum.
- Send a formal billing dispute letter to the firm addressing: (a) lead partner rate (\$995 vs. \$945 approved on all 9 lines — write-down of \$1,195 required); (b) LA partner line (Line 1007, \$700 — full write-off absent written approval); (c) contract attorney billing (Line 1024, \$2,580 — full write-off absent preapproval evidence); (d) summer associate billing (Line 1023, \$675 — full write-off); (e) invoice prep charge (Line 1022, \$666 — full write-off); (f) travel time (Line 1016, \$2,985 — full write-off or documented written approval required); (g) AI surcharge (Line 1020, \$450 — full write-off absent written authorization).
- Request written clarification on: (a) task breakdown for Line 1010 block-billed entry (4.5h, \$4,477.50); (b) distinction between Lines 1008 and 1009 research sessions (what changed, what was new); (c) written authorization for ESI database hosting charge (Line 1021, \$1,260); (d) itemization and working-mean confirmation for dinner expense (Line 1019, \$138).
- Escalate budget overrun immediately. Total fees to date are \$97,987 against an \$85,000 phase budget (115%). Forecast to phase end is \$112,487 (132%). A budget conversation with the firm — and potentially with internal leadership — is needed before the next invoice arrives.
- Issue a timekeeper and billing rules reminder to the firm before the next billing period; restate the approved timekeeper roster; remind that any additions require prior written approval, and reiterate the prohibition on travel time billing, invoice prep billing, summer associate billing, and technology surcharges without authorization.
- Monitor research hours in the next invoice. The 8.1h of associate research on wage statement standing in a single invoice is worth watching against the next billing period's entries.

8. Open Questions That Could Change the Outcome

Question	Issue Affected	Impact if Resolved Yes / No
Was travel time to the client facility pre-approved in writing?	Line 1016 (\$2,985)	Yes = approve; No = full write-off required
Was the LA partner's attendance on the status call pre-approved in writing?	Line 1007 (\$700)	Yes = assess rate overage only; No = full write-off
Was the contract attorney's use pre-authorized and cost-disclosed?	Line 1024 (\$2,580)	Yes = approve at agreed rate; No = write-off
Is there written authorization for the AI research platform surcharge?	Line 1020 (\$450)	Yes = approve; No = write-off
Is there written authorization for ESI hosting / analytics charge?	Line 1021 (\$1,260)	Yes = approve; No = write-off
What distinct legal questions did the two research sessions address?	Lines 1008–1009 (\$4,496)	Clear distinction = approve; Material overlap = partial reduction
Was the team dinner a working meal related to travel, or a social meal?	Line 1019 (\$138)	Working = likely approve with travel; Social = write-off

9. Review Checklist & Optional Next Deliverables

Before Approving or Paying This Invoice	Optional Next Deliverables Available
- Hard-breach items resolved or written off - Clarification responses received and reviewed - Revised invoice or credit note received if write-downs required - Budget escalation initiated with internal stakeholders - Timekeeper reminder sent to firm - Any payment made should exclude challenged amounts pending resolution	- Dispute / Negotiation Letter — formatted billing dispute ready to send to the firm - Issue Log (CSV) — paste-ready for Legal Tracker, CounselLink, or Brightlog - Executive Scorecard — at-a-glance firm performance card for GC or leadership - MBR / QBR — monthly or quarterly management review (requires prior invoices for trend)

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